Appendix A. Calculating the ROI of Training Investment

Let's consider a hypothetical scenario of a company that is planning to hire 20 SREs in a calendar year and wants to assess the potential ROI of spinning up a training program. We need to estimate the cost to hire and onboard a new SRE for the "sink or swim" (no training) and "with training" scenarios (Table A-1).

Table A-1. Hypothetical ROI calculation for training investment

Factor	"Sink or swim"	"With training"
Time to find and onboard a new hire	12 weeks	Same
Effort to find and onboard a new hire	1 week recruiter/interviewer time, $10,000 in advertising, travel, relocation, etc.	Same
Time from onboarding to fully actualized and productive SRE	12 weeks	8 weeks, 4 weeks = rate at which training accelerates ramp-up
Time to complete onboarding training	0	1 week
Effort to train	0	1 week mentor/instructor time per new hire
Rate of attrition within the first year	10%	5%

The annual cost to hire and ramp-up the new SREs in this hypothetical scenario is:

"Sink or swim": (12 + 1 + 12 weeks) × (20 + (10% × 20)) = 550 weeks + $220,000

"With training": (12 + 1 + 8 + 1 + 1 weeks) × (20 + (5% × 20)) = 483 weeks + $210,000

The ROI of the training program is thus expected to be 67 weeks + $10,000.

You can start by estimating training program impact in this way, and then refine those estimates with program and organizational data once the onboarding program is spun up.

TIP

Set up a spreadsheet with the cost estimates that automatically calculates ROI for the training program. This allows you to quickly revise your assumptions based on stakeholder feedback or new information. State your assumptions clearly so stakeholders can see how you arrived at the calculated ROI and evaluate its credibility for themselves.

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